

Due to rising global security concerns and regional tensions, the Indian government has placed a heightened emphasis on strengthening its defence capabilities. This is reflected in the consistently progressive stance of the defence budget, which has seen steady year-on-year increases.

“It is highly probable that the upcoming Union Budget will feature a further rise in defence allocations, particularly towards capital expenditure and indigenisation initiatives,” says Singh of Religare Broking.

Bhowar of Waterfield Advisors adds that a strong and expanding order book is a key driver for the sector.

KEY CHALLENGES

Market watchers note that the sector also faces several challenges. Technological barriers, dependence on imported components for certain high-end systems, regulatory complexities in procurement, and slow decision-making processes can hamper growth. Geopolitical volatility may also disrupt supply chains and partnerships. Moreover, reliance on government contracts exposes firms to budgetary constraints.

Singh says, “Indian defence companies’ dependence on foreign technology for critical platforms such as jet engines, advanced sensors, and avionics hampers self-reliance. Indigenous R&D often suffers from delays and limited scale.”

Despite these risks, the overall long-term outlook for the sector remains positive, driven by national security imperatives, strong policy support, and the emergence of indigenous players in the global defence value chain. **BT**

@iamrahuloberoi

TRADE ROUND-UP

Trump’s U-Turns

The US-China trade deal has eased tensions between the two biggest economies but could hurt India. However, the country can benefit by expanding its manufacturing capabilities in a globally competitive way

BY RICHA SHARMA

► **WHILE THE US-CHINA** agreement on reduction of trade tariffs could impact India’s plans to attract companies looking to relocate operations from China, the country could gain by focusing on export competitiveness by producing better quality goods at lower prices, experts believe.

The two major economies reaching an agreement could help China regain lost ground while reducing India’s opportunity to capitalise on the situation. Several countries have finalised or are in advanced stages of finalising trade agreements with the US.

The US and China recently reached a trade agreement that temporarily reduced tariffs. US tariffs on Chinese goods were lowered from 145% to 30%, while China cut its tariffs on US goods from 125% to 10%. The agreement came after President Donald Trump announced new tariffs on several countries, including a 26% tariff on imports from India, on April 2.

Ajay Srivastava, Founder of the Global Trade Research Initiative, says the withdrawal of reciprocal tariffs for 90 days by the two countries has brought tariffs closer to parity, undermining the “China Plus One” strategy that benefited India.

Post-Covid-19 and due to the

ongoing uncertain geo-political situation, many global manufacturing companies are looking to diversify their supply chains beyond China, positioning India as a viable alternative manufacturing destination.

“While low-investment assembly operations may linger in India for now, deeper manufacturing—the kind that builds real industrial ecosystems—may stall or even

WITHDRAWAL OF RECIPROCAL TARIFFS FOR 90 DAYS HAS BROUGHT THEM CLOSER TO PARITY

return to China. Investors are watching the US tilt, and many will hesitate to commit unless India can lock in a competitive advantage,” Srivastava says. India would have to urgently reduce production costs, overhaul logistics, and improve regulatory predictability to attract global players.

However, Indian officials think otherwise. They believe that the US-China trade deal is unlikely to derail India’s economic strategy,